heartening, there was bad news as well. By September, the SSNCo's Colombo agent was reporting that firms such as Moona Sayna Vayna, Ravana Mana, Oona Sayna, Sayna Eena Kana, Seena Thana, Ana Chovanna Vayna, Moona Sayna Theena, Moona Sayna Poovanna, S.T.M., K.M., and S.V.S. had stopped moving cargo through SSNCo.[177] The reason for the backsliding is not known.

There are conflicting reports about the success of the *Lawoe's* coasting trips. While an early police report said that the first trip (in late July) to Nagapattinam did not live up to expectations,[178] a later report vouched for its success: when the *Lawoe* left the Madras harbour on 11 August it was laden with a full cargo.[179] The directors claimed in the shareholders' meeting that the first two trips had been 'encouraging'.[180] When the *Lawoe* arrived at Colombo on 17 September 1908—after completing its third coasting voyage—it was once again described as very successful. During this trip it was fully loaded with cargo and had to shut out about 6,000 packages for want of space. 'Surely, the company's business prospects are brightening,' *The Hindu* reported happily.[181]

By September 1908, the *Lawoe* was sailing even north of Madras, up to Kakinada where also it was winning the custom of patriotic merchants.[182]

French-ruled Karaikal too provided some comfort. Active and strong support was received there with one A.V. Ramana Chetti and others already holding about 2,000 shares in the company. Ramana Chetti now increased his shares from 400 to 1,000. In a happy turn of events, when the *Lawoe* called at Karaikal, 3,750 bags of sago were loaded for Colombo at 5 annas a bag though the BI's agent offered a cut-throat price of only 2 annas. Only after the *Lawoe* was loaded to the full were the excess 1,250 bags shipped on the BI's steamer. Further, not only did the Karaikal merchants promise to take more shares in SSNCo, they promised to ship exclusively by the Swadeshi steamer provided it called regularly. The tidy sum of Rs 500 collected for VOC's defence fund was a bonus.[183]

However, the new coastal trade proved to be a false dawn.